

REFUND & RETURNS POLICY

1. PURPOSE

This Refund & Returns Policy establishes the rules, procedures, responsibilities, approval workflows, financial controls, compliance requirements, and customer service standards governing product returns, refunds, replacements, exchanges, and compensation requests.

The policy aims to:

- Protect customer rights.
- Ensure fair and consistent refund decisions.
- Reduce fraud and abuse.
- Standardize operational procedures.
- Enable automated policy enforcement.
- Support audit and compliance requirements.
- Improve customer satisfaction while minimizing financial risk.

2. SCOPE

This policy applies to:

- Direct-to-consumer orders.
- Marketplace orders.
- Domestic shipments.
- International shipments.
- Mobile application purchases.
- Website purchases.
- Subscription-based purchases.
- Promotional purchases.
- Gift purchases.

The policy applies to all customers, sellers, support teams, finance teams, warehouse operations, logistics partners, and automated systems involved in refund processing.

3. POLICY OBJECTIVES

The organization shall:

- Process eligible refunds efficiently.
- Ensure transparent communication.
- Minimize refund-related disputes.
- Prevent fraudulent activities.
- Maintain accurate financial records.
- Comply with consumer protection regulations.
- Support automated refund decision systems.

4. DEFINITIONS

Refund

A monetary reimbursement issued to a customer for an eligible transaction.

Return

The process of sending purchased goods back to the company or seller.

Replacement

Shipment of a new item in place of a defective, damaged, or incorrect item.

Exchange

Replacement of a product with a different variant, size, or model.

Chargeback

A payment reversal initiated by the customer's bank or payment provider.

Return Merchandise Authorization (RMA)

A unique authorization number assigned to approved return requests.

Refund Request

A customer-initiated request seeking reimbursement.

5. REFUND ELIGIBILITY CRITERIA

Customers may qualify for refunds under the following circumstances:

Product Not Delivered

Conditions:

- Shipment lost in transit.
- Delivery failure caused by company or carrier.
- Delivery exceeds policy-defined limits.

Eligibility:

- Full refund.

Damaged Product

Conditions:

- Product arrives damaged.
- Packaging severely compromised.
- Product unusable upon arrival.

Eligibility:

- Full refund or replacement.

Incorrect Product Delivered

Conditions:

- Wrong SKU shipped.
- Wrong size, model, color, or variant delivered.

Eligibility:

- Replacement or full refund.

Defective Product

Conditions:

- Manufacturing defects.
- Functional failure during eligible return window.

Eligibility:

- Repair, replacement, or refund.

Duplicate Payment

Conditions:

- Multiple successful charges for a single order.

Eligibility:

- Refund of excess payment.

Order Cancellation

Conditions:

- Cancellation completed before shipment.

Eligibility:

- Full refund.

6. NON-REFUNDABLE CONDITIONS

Refunds shall not be granted for:

- Customer misuse.
- Physical damage caused after delivery.
- Normal wear and tear.
- Unauthorized modifications.
- Products marked as non-returnable.
- Expired return windows.
- Digital products already consumed.
- Gift cards and store credits.
- Fraudulent claims.

7. RETURN WINDOWS BY PRODUCT CATEGORY

Product Category Return Window

Electronics 14 Days

Mobile Devices 7 Days

Fashion & Apparel 30 Days

Home & Furniture 15 Days

Appliances 10 Days

Books 7 Days

Beauty Products Non-Returnable After Opening

Grocery Products Non-Returnable

Software Licenses Non-Refundable After Activation

Return windows begin on the confirmed delivery date.

8. DAMAGED GOODS HANDLING

Customers must:

- Report damage within 48 hours.
- Submit photographic evidence.
- Provide order information.
- Retain original packaging.

Support teams shall:

- Verify evidence.
- Review carrier records.
- Determine refund eligibility.

Resolution must be initiated within 24 hours of verification.

9. WRONG ITEM DELIVERY PROCESS

When incorrect items are delivered:

1. Customer submits complaint.

2. Support validates order details.
3. Return authorization is generated.
4. Reverse logistics pickup is arranged.
5. Replacement or refund is issued.

Target resolution time:

- Within 5 business days.

10. LOST SHIPMENT POLICY

A shipment is considered lost when:

- Tracking shows no movement for 7 consecutive days.
- Carrier confirms loss.
- Delivery cannot be verified.

Actions:

- Investigation initiated.
- Carrier contacted.
- Customer notified.

Resolution:

- Full refund or replacement.

11. DELIVERY DELAY REFUND RULES

Refund eligibility due to delays is governed by the Delivery SLA Policy.

Delay Categories

Delay: 1–3 Days

Action:

- Customer notification.

Refund Eligibility:

- No automatic refund.

Delay: 4–7 Days

Action:

- Service recovery review.

Refund Eligibility:

- Shipping fee reimbursement may apply.

Delay: More Than 7 Days

Action:

- Escalation review.

Refund Eligibility:

- Full refund consideration.

Delay: More Than 14 Days

Action:

- Critical escalation.

Refund Eligibility:

- Full refund recommended.

12. PARTIAL REFUND POLICY

Partial refunds may be issued when:

- Product has minor cosmetic defects.
- Customer chooses to retain product.
- Delivery commitments are partially missed.
- Promotional pricing corrections are required.

Partial refund amounts must be approved according to the Approval Authority Matrix.

13. MARKETPLACE SELLER SCENARIOS

For third-party seller transactions:

- Seller remains primary responsible party.
- Platform may intervene if seller fails to respond.

- Platform reserves the right to recover refunded funds from seller accounts.

Escalation shall occur if:

- Seller fails to respond within 48 hours.
- Multiple complaints exist against the seller.
- Fraud indicators are identified.

14. FRAUD PREVENTION CONTROLS

The company shall implement fraud detection controls including:

- Device fingerprinting.
- IP reputation monitoring.
- Velocity checks.
- Multiple refund request detection.
- Duplicate claim analysis.
- Account behavior monitoring.

High-risk requests shall require manual review.

15. CHARGEBACK MANAGEMENT

When chargebacks occur:

1. Case is logged.
2. Evidence package is assembled.
3. Payment provider is notified.
4. Investigation begins.

Evidence may include:

- Proof of delivery.
- Customer communications.
- Tracking records.
- Purchase confirmations.

Chargeback outcomes shall be recorded for audit purposes.

16. APPROVAL AUTHORITY MATRIX

Refund Amount Approval Required

Up to \$50 Customer Support Agent

\$51 - \$250 Support Supervisor

\$251 - \$1,000 Operations Manager

Above \$1,000 Department Director

Automated approvals may be used for low-risk refunds.

17. FINANCIAL CONTROLS

Finance teams shall ensure:

- Accurate refund accounting.
- Reconciliation of payment records.
- Segregation of duties.
- Fraud monitoring.
- Regulatory compliance.

Monthly refund audits shall be conducted.

18. REFUND PROCESSING SLAS

Refund Method Processing SLA

Credit Card 3–7 Business Days

Debit Card 3–10 Business Days

Bank Transfer 5–10 Business Days

Wallet Refund 24 Hours

Store Credit Immediate

Delays caused by financial institutions are excluded from SLA calculations.

19. CUSTOMER COMMUNICATION REQUIREMENTS

Customers shall receive:

- Refund request confirmation.
- Investigation updates.
- Approval or rejection notices.
- Refund completion notification.

Communications must include:

- Case ID
- Order ID
- Resolution status
- Expected timelines

20. AUDIT LOGGING REQUIREMENTS

The system must log:

- Request creation timestamp
- Customer details
- Order details
- Refund amount
- Decision outcome
- Approver information
- Payment transaction references

Retention Period:

- Minimum 7 years

21. REGULATORY COMPLIANCE

Refund operations shall comply with:

- Consumer protection laws
- Electronic commerce regulations
- Financial reporting requirements

- Tax regulations
- Data privacy regulations
- Payment card industry standards

22. EXCEPTION HANDLING

Exceptions may be granted when:

- Regulatory requirements apply.
- Executive approval is provided.
- Customer safety concerns exist.
- Significant service failures occur.

All exceptions must be documented and approved.

23. REPORTING REQUIREMENTS

The following reports shall be generated:

Daily Reports

- Refund requests
- Approval rates
- Pending investigations

Weekly Reports

- Refund trends
- Fraud indicators
- Seller disputes

Monthly Reports

- Refund volume analysis
- Financial impact assessment
- Compliance review

24. GOVERNANCE

The Refund Governance Committee shall oversee:

- Policy compliance
- Approval controls
- Fraud prevention
- Financial risk management
- Customer satisfaction metrics

Policy exceptions require committee approval.